

UNITED STATES DISTRICT COURT
CENTRAL DISTRICT OF CALIFORNIA
CIVIL MINUTES – GENERAL

Case No. 8:22-cv-00941-AH (KESx) Date July 20, 2026

Title *Securities and Exchange Commission v. TKO Farms Inc. et al.*

Present: The Honorable Anne Hwang, United States District Judge

Yolanda Skipper
Deputy Clerk

Not Reported
Court Reporter

Attorney(s) Present for Plaintiff(s):
None Present

Attorney(s) Present for Defendant(s):
None Present

**Proceedings: (IN CHAMBERS) ORDER GRANTING IN PART PLAINTIFF’S
MOTION FOR DEFAULT JUDGMENT [DKT. NO. 222]**

Plaintiff Securities and Exchange Commission (“SEC”) brings this Motion for Default Judgment and Order for Monetary Relief against Defendant James Brian Blaylock (“Mr. Blaylock”) and Relief Defendant FreeLife Logistics, LLC (“FreeLife”) (collectively, “Defendants”). *See generally* Mot. (“Motion”), Dkt. No. 222. The Court held oral argument on June 24, 2026. For the following reasons, the Court **GRANTS** the Motion in part.

I. BACKGROUND¹

TKO Farms owns and operates an exotic hardwood and citrus tree farm in Belize. Order Re: Mots. For Summ. J. at 1. Agravitae develops and markets products utilizing the hardwoods and citrus from TKO Farms. *Id.* Between 2017 and 2021, TKO and Agravitae offered securities to prospective investors, but those securities were not registered with the SEC. *Id.* at 2. James Brian Blaylock was engaged to solicit prospective investors. Compl. ¶ 13. Mr. Blaylock managed a

¹ The background of this case is set forth in greater detail in prior orders of the Court. Dkt. Nos. 205, 148.

call center and worked as a “closer,” calling screened prospective investors to answer questions, provide additional information, and ultimately secure investments; Mr. Blaylock, however, was not a registered broker with the SEC. *Id.* ¶¶ 3, 21-22. FreeLife is an entity controlled by Mr. Blaylock. *Id.* ¶ 16.

On May 6, 2022, the SEC filed the instant action against Defendants alleging violations of Sections 5(a) and 5(c) of the Securities Act and Section 15(a)(1) of the Exchange Act. *See generally* Compl.

The SEC filed this Motion for Default Judgment on January 30, 2026. *See generally* Mot. The SEC is requesting a judgment (1) enjoining Mr. Blaylock from violating Sections 5(a) and 5(c) of the Securities Act and Section 15(a)(1) of the Exchange Act; (2) enjoining Mr. Blaylock from, directly or indirectly, including, but not limited to, through any entity owned or controlled by Mr. Blaylock, soliciting any person or entity to purchase or sell any security; (3) ordering disgorgement of any ill-gotten gains with prejudgment interest; and (4) imposing civil penalties. Mot. at 11. The hearing on this motion was originally set for March 4, 2026. Mr. Blaylock appeared at the hearing and the Court granted his request for additional time to seek to set aside default entered by the clerk and answer the complaint. The Court continued the hearing on the motion to June 24, 2026. Mr. Blaylock filed a response on June 23, 2026. Dkt. No. 227.

II. LEGAL STANDARD

A. Motion to Set Aside Default

“The court may set aside an entry of default for good cause” Fed. R. Civ. P 55(c). “To determine ‘good cause’, a court must consider three factors: (1) whether the party seeking to set aside the default engaged in culpable conduct that led to the default; (2) whether it had no meritorious defense; or (3) whether reopening the default judgment would prejudice the other party.” *United States v. Signed Personal Check No. 730 of Yubran S. Mesle*, 615 F.3d 1085, 1091 (9th Cir. 2010) (citation modified). “This standard . . . is disjunctive, such that a finding that any one of these factors is true is sufficient reason for the district court to refuse to set aside the default.” *Id.* “Where timely relief is sought from a default . . . , doubt, if any, should be resolved in favor of the motion to set aside the [default] so that cases may be decided on their merits.” *Mendoza v. Wight Vineyards Mgmt.*, 783 F.2d 941, 945–46 (9th Cir. 1986) (second alteration in original) (quoting *Schwab v. Bullock’s Inc.*, 508 F.2d 353, 355 (9th Cir. 1974)).

B. Motion for Default Judgment

Federal Rule of Civil Procedure 55(b)(2) authorizes a court to enter default judgment against a party who has failed to plead or otherwise defend following the entry of default by the Clerk of Court. Fed. R. Civ. P. 55(b)(2). The decision to grant or deny an application for default judgment is discretionary. *Aldabe v. Aldabe*, 616 F.2d 1089, 1092 (9th Cir. 1980).

Pursuant to Local Rule 55-1, an application for default judgment must be accompanied by a declaration setting forth: (a) when, and against what party, default was entered; (b) the pleading to which default was entered; (c) whether the defaulting party is an infant or incompetent person; (d) that the Servicemembers Civil Relief Act, 50 U.S.C. § 3931, does not apply; and (e) that notice has been served on the defaulting party, if required. C.D. Cal. R. 55-1. The party applying for default judgment must also provide the defaulting party with notice of the application if the defaulting party has appeared in the action or the applicant seeks unliquidated damages. Fed. R. Civ. P. 55(b)(2); C.D. Cal. R. 55-2.

In determining whether to enter default judgment against a party, a court considers the following factors: (1) the possibility of prejudice to the plaintiff, (2) the merits of the plaintiff's substantive claims, (3) the sufficiency of the complaint, (4) the sum of money at stake in the action, (5) the possibility of a dispute concerning material facts, (6) whether the default was due to excusable neglect, and (7) the strong policy underlying the Federal Rules of Civil Procedure favoring decisions on the merits. *Eitel v. McCool*, 782 F.2d 1470, 1471–72 (9th Cir. 1986) (the “*Eitel* factors”).

“[U]pon default the factual allegations of the complaint, except those relating to the amount of damages, will be taken as true.” *Geddes v. United Fin. Grp.*, 559 F.2d 557, 560 (9th Cir. 1977) (citations omitted). “[N]ecessary facts not contained in the pleadings, and claims which are legally insufficient, are not established by default.” *Cripps v. Life Ins. Co. of N. Am.*, 980 F.2d 1261, 1267 (9th Cir. 1992) (citations omitted). “If the court determines that the allegations in the complaint are sufficient to establish liability, it must then determine the amount and character of the relief that should be awarded.” *Landstar Ranger, Inc. v. Parth Enters., Inc.*, 725 F.Supp.2d 916, 920 (C.D. Cal. 2010) (internal quotation marks and citations omitted).

III. DISCUSSION

A. Request to Set Aside Default

At the June 24, 2026 hearing, Mr. Blaylock belatedly requested that the Court set aside the default and dismiss the case. In support of his request, Mr. Blaylock also filed a written response, Dkt. No. 227, not by written notice and motion. Mr. Blaylock argues that he has not received notice of this lawsuit, the trial date, or default judgment, despite his mailing address having remained the same from the time of the filing of the lawsuit.² However, the SEC personally served Mr. Blaylock with the summons and Complaint on May 25, 2022, at the Folsom State Prison's Minimum Support Facility. Dkt. No. 18. Mr. Blaylock failed to respond to the Complaint, and does not otherwise present argument that he was improperly served at Folsom State Prison.

A defendant "is culpable if [it] has received actual or constructive notice of the filing of the action and intentionally failed to answer." *Alan Neuman Prods., Inc. v. Albright*, 862 F.2d 1388, 1392 (9th Cir. 1988). "[I]n this context the term 'intentionally' means that a movant cannot be treated as culpable simply for having made a conscious choice not to answer; rather, to treat a failure to answer as culpable, the movant must have acted with bad faith." *Mesle*, 615 F.3d at 1092. "The mistake must be excusable under the circumstances, and relief will not be granted where a party should know the consequence of ignoring service of process." *Donell v. Ghomi*, 2013 WL 3934376, at *3 (C.D. Cal. July 30, 2013) (citing *Direct Mail Specialists, Inc. v. Eclat Computerized Technologies, Inc.*, 840 F.2d 685, 690 (9th Cir.1988)). Despite the Court granting Mr. Blaylock's request to continue the hearing on the motion for default judgment for him to seek to set aside default and answer the complaint, Mr. Blaylock did not timely act. To date, Mr. Blaylock has not responded to the SEC's Complaint, despite having received personal notice of the Complaint four years ago, notice by mail of the Motion for Default Judgment, and having been reminded by the Court of his obligation to respond to the SEC's lawsuit at the hearing on March 4, 2026. Further, the Ninth Circuit has explained that "[a] defendant seeking to vacate a default ... must present specific facts that would constitute a defense." *Mesle*, 615 F.3d at 1094. Mr. Blaylock has not offered any facts that, if true, would constitute a defense.

² Mr. Blaylock also argued that certain statements in the SEC's briefing are false and misleading, none of which are relevant to the instant Motion or Mr. Blaylock's request to set aside the default judgment.

“Defendant[] [has] not offered points and authorities, declarations, or other supporting documents that would permit the court to assess the probability of a meritorious defense.” *Cohen v. Murphey*, 222 F.R.D. 416, 418 (N.D. Cal. 2004). Accordingly, the Court does not find good cause to set aside the default.

B. Procedural Requirements for Default Judgment

The SEC properly served Defendants with the summons and Complaint on May 25, 2022. Dkt. Nos. 18, 19. With its Motion, the SEC’s counsel filed a declaration which establishes that: (1) Mr. Blaylock and FreeLife have not appeared³ or otherwise responded to the Complaint; (2) Mr. Blaylock and FreeLife are not a minor or incompetent persons; and (3) the Servicemembers Civil Relief Act does not apply to Mr. Blaylock or FreeLife. *See* Mot., Decl. of Ruth C. Pinkel, Dkt. No. 222-2, ¶¶ 3, 5, 6-8. The Clerk of Court entered default against Defendants as to the Complaint on November 14, 2023. *See* Mot. at 1; *see also* Dkt. No. 95.

For these reasons, the Court finds that the SEC satisfies Local Rule 55-1 for purposes of obtaining a default judgment against Defendants.

C. Application of the *Eitel* Factors

The *Eitel* factors weigh in favor of granting default judgment.

i. Possibility of Prejudice to Defendants

The first *Eitel* factor considers whether the plaintiff will be prejudiced if default is not entered. *Eitel*, 782 F.2d at 1471. Here, if default judgment were not entered, the SEC “will likely be without other recourse for recovery.” *PepsiCo, Inc. v. Cal. Sec. Cans*, 238 F. Supp. 2d 1172, 1177 (C.D. Cal. 2002). Given that Defendants have failed to respond to the Complaint, it is possible that the SEC “would have no way to enforce the Securities Act or the Exchange Act against Defaulting Defendants,” or recover any form of relief unless default judgment is entered. *SEC v. Pedras*, 2014 WL 12597332, at *4 (C.D. Cal. Apr. 16, 2014).

Therefore, the first *Eitel* factor weighs in favor of granting default judgment.

³ After the filing of the SEC’s Motion, Mr. Blaylock attended the March 4, 2026, and June 23, 2026 hearings on the Motion for Default Judgment, but he did not timely move to set aside default or timely answer.

ii. *Merits of the Substantive Claim and Sufficiency of the Complaint*

Under an *Eitel* analysis, “the merits of plaintiff’s substantive claims and the sufficiency of the complaint are often analyzed together.” *Tuan Anh Nguyen v. Hamner Express Wash*, 2019 WL 1877603, at *1 (C.D. Cal. Feb. 8, 2019) (internal quotation marks and citation omitted). These factors require the plaintiff to “state a claim on which the [plaintiff] may recover.” *PepsiCo*, 238 F. Supp. 2d at 1175 (internal quotation marks and citation omitted). Because a default has been entered, the Court presumes the SEC’s allegations are true. *See Geddes*, 559 F.2d at 560.

The SEC alleges violations under Sections 5(a) and 5(c) of the Securities Act. “To establish a prima facie case for violation of Section 5, the SEC must show that (1) no registration statement was in effect as to the securities; (2) the defendant directly or indirectly sold or offered to sell securities; and (3) the sale or offer was made through interstate commerce.” *SEC v. CMKM Diamonds, Inc.*, 729 F.3d 1248, 1255 (9th Cir. 2013). “With respect to Section 5, a defendant’s role in the transaction must be a significant one before liability will attach. Defendants play a significant role when they are both a necessary participant and substantial factor in the sales transaction.” *Id.* (citation and internal quotations omitted). “The Ninth Circuit has interpreted this to mean that but for the defendant’s participation, the transaction would not have taken place.” *SEC v. SHE Beverage Co., Inc.*, 2023 WL 6147134, at *5 (C.D. Cal. Sept. 18, 2023) (citing *SEC v. Murphy*, 626 F.2d 633, 651–52 (9th Cir. 1980)). “Telephones are instrumentalities of interstate commerce” *United States v. Stackhouse*, 105 F.4th 1193, 1199 (9th Cir.), (internal quotation marks and citation omitted).

The SEC establishes the first element because it alleges no registration statements were in effect or filed with the SEC for TKO Farms or Agravitae securities offerings, and no exemption from registration validly applied. Compl. ¶ 25. The SEC has also satisfied the second and third elements. The SEC generally alleges Mr. Blaylock and other defendants solicited prospective investors to purchase securities through interstate commerce via phone calls, the U.S. Mail and/or FedEx, and electronically through emails or document downloads. Mot. at 7; Compl. ¶¶ 3, 6, 24, 66. With respect to Mr. Blaylock, the SEC specifically alleges he—after receiving a list of promising prospective investors—telephoned the individuals, answered their questions, provided them with additional information, and sought to secure an investment. Compl. ¶ 22. Mr. Blaylock’s role

in these sales activities was significant because but for his participation, certain transactions would not have taken place. *Id.* ¶¶ 52-55. Thus, the SEC’s well-pleaded allegations sufficiently demonstrate the merits of its Section 5(a) and 5(c) claims.

Furthermore, the SEC’s well-pleaded allegations adequately support its Exchange Act Section 15(a) cause of action. Under Section 15(a) of the Exchange Act, an unregistered broker cannot “make use of the mails or any means or instrumentality of interstate commerce to effect any transactions in, or to induce or attempt to induce the purchase or sale of, any security (other than an exempted security or commercial paper, bankers’ acceptances, or commercial bills).” 15 U.S.C. § 78o(a)(1). The Exchange Act defines a “broker” as “any person engaged in the business of effecting transactions in securities for the account of others.” 15 U.S.C. § 78c(a)(4)(A). To determine whether a defendant acted as a broker, courts consider whether the defendant: “(1) is an employee of the issuer of the security; (2) received transaction-based income such as commissions rather than a salary; (3) sells or sold securities from other issuers; (4) was involved in negotiations between issuers and investors; (5) advertised for clients; (6) gave advice or made valuations regarding the investment; (7) was an active finder of investors; and (8) regularly participates in securities transactions.” *SEC v. Hui Feng*, 935 F.3d 721, 731–32 (9th Cir. 2019) (citations omitted). There is no rigid formula for how these factors are weighed. Rather, courts consider the “totality of the circumstances.” *Id.*

Mr. Blaylock was not registered as a broker or dealer with the SEC. Compl. ¶¶ 3, 56. Mr. Blaylock, however, acted as a broker by receiving transaction-based income in the form of commissions equaling a percentage of the funds he raised and was engaged by Owen to solicit prospective investors to purchase securities, including answering questions, providing additional information, and seeking investments. *Id.* ¶¶ 13, 27, 46, 52–55. Together, these facts sufficiently allege and establish a Section 15(a) claim.

Thus, the second and third *Eitel* factors weigh in favor of granting default judgment.

iii. The Sum of Money at Stake

The fourth *Eitel* factor analyzes the amount of money at stake. *Eitel*, 782 F.2d at 1471. “Default judgment is disfavored where the sum of money at stake is

too large or unreasonable in relation to defendant's conduct." *Vogel v. Rite Aid Corp.*, 992 F. Supp. 2d 998, 1012 (C.D. Cal. 2014), *abrogated on other grounds by Lopez v. Catalina Channel Express, Inc.*, 974 F.3d 1030 (9th Cir. 2020).

Here, the principal amount sought is only for the net proceeds from the securities violations, which must be adequately supported by the SEC's evidence, and civil penalties.

The fourth *Eitel* factor also weighs in favor of granting default judgment.

iv. *Possibility of Dispute Concerning Material Facts*

The fifth *Eitel* factor looks at the possibility of whether material facts may be in dispute. *Eitel*, 782 F.2d at 1471–72. A court accepts all well-pleaded factual allegations in a complaint as true when examining whether to grant a default judgment. *TeleVideo Sys., Inc. v. Heidenthal*, 826 F.2d 915, 91718 (9th Cir. 1987). "Where a plaintiff's complaint is well-pleaded and the defendant makes no effort to properly respond, the likelihood of disputed facts is very low." *United States v. Yermian*, 2016 WL 1399519, at *3 (C.D. Cal. Mar. 18, 2016).

The SEC adequately alleges the causes of action in the Complaint. Defendants' failure to answer the Complaint indicates that they would be unable to dispute the material facts in this matter.

Accordingly, the fifth *Eitel* factor weighs in favor of granting default judgment.

v. *Possibility of Excusable Neglect*

The sixth *Eitel* factor considers whether a defendant's default is the result of excusable neglect. *Eitel*, 782 F.2d at 1472. "This factor favors default judgment when the defendant has been properly served[.]" *ProOne, Inc. v. Russell*, 2019 WL 4390577, at *5 (C.D. Cal. Aug. 8, 2019) (citing *Landstar Ranger, Inc.* 725 F.Supp.2d at 922).

Here, the SEC properly served Defendants. As a result, the Court presumes that Defendants were on notice and failed to respond to the Complaint, particularly in light of the additional time provided by the Court for Defendants to do so.

As a result, the sixth *Eitel* factor weighs in favor of granting default judgment.

vi. Strong Policy Favoring Decision on the Merits

The seventh *Eitel* factor states that “[c]ases should be decided upon their merits whenever reasonably possible.” 782 F.2d at 1472 (citation omitted). However, a “[d]efendant’s failure to answer Plaintiffs’ Complaint makes a decision on the merits impractical, if not impossible.” *PepsiCo*, 238 F. Supp. 2d at 1177. Here, Defendants have not responded to the Complaint, making a decision on the merits “impractical, if not impossible.” *Id.* Therefore, this factor does not preclude default judgment.

For these reasons, the balance of the *Eitel* factors supports granting the Motion for Entry of Default Judgment against Defendants.

D. Relief Sought

Rule 54(c) of the Federal Rules of Civil Procedure provides that “[a] default judgment must not differ in kind from, or exceed in amount, what is demanded in the pleadings.” Fed. R. Civ. P. 54(c). In addition, the pleadings must specifically state the relief sought. *See* Fed. R. Civ. P. 8(a)(3). Plaintiff must provide evidence to support its request for damages. *See Landstar Ranger, Inc.*, 725 F. Supp. 2d at 920 (“Once a party’s default has been entered, the factual allegations of the complaint, except those concerning damages, are deemed to have been admitted by the non-responding party.”).

Here, the SEC seeks (1) injunctive relief, (2) disgorgement with prejudgment interest, and (3) civil penalties. Mot. at 11.

i. Injunctive Relief

The SEC seeks two injunctions: (1) an injunction prohibiting Mr. Blaylock from violating Sections 5(a) and 5(c) of the Securities Act and Section 15(a)(1) of the Exchange Act; and (2) an injunction preventing Mr. Blaylock from directly, or indirectly, including, but not limited to, through any entity owned or controlled by Mr. Blaylock, soliciting any person or entity to purchase or sell any security. Mot. at 11.

Under Section 20(b) of the Securities Act, “upon a proper showing,” the Court may enjoin “any acts or practices which constitute or will constitute a violation of the provisions of [the Securities Act], or of any rule or regulation prescribed under authority thereof.” *See* 15 U.S.C. § 77t(b); 15 U.S.C. § 78u(d)(1) (Section 21(d)(1) of the Exchange Act permitting the Court to do the same). “In order to obtain a permanent injunction . . . , the SEC ha[s] the burden of showing there [is] a reasonable likelihood of future violations of the securities laws.” *SEC v. Murphy*, 626 F.2d 633, 655 (9th Cir. 1980). “The existence of past violations may give rise to an inference that there will be future violations,” and “the fact that the defendant is currently complying with the securities laws does not preclude an injunction.” *Id.*

In the Ninth Circuit, to evaluate the likelihood of future violations of securities laws, courts “‘must assess the totality of the circumstances surrounding the defendant and his violations,’ considering factors such as (1) the degree of scienter, (2) the isolated or recurrent nature of the infraction, (3) the defendant’s recognition of the wrongful nature of his conduct, (4) the likelihood, because of the defendant’s occupation, that future violations might occur, and (5) the sincerity of [the defendant’s] assurances against future violations.” *SEC v. Murphy*, 50 F.4th 832, 841–42 (9th Cir. 2022) (quoting *Murphy*, 626 F.2d at 655).

Here, the Court finds that, when considering the totality of the circumstances, both requested injunctions are warranted. Mr. Blaylock’s conduct occurred over the course of several years and was not an isolated incident. Compl. ¶¶ 1, 20. He has provided no indication that he recognizes the wrongful nature of his conduct during the course of this case. *SEC v. Baccam*, 2017 WL 5952168, at *9 (C.D. Cal. June 14, 2017) (awarding injunctive relief by default, noting that the defendant “has not given any assurances against future violations, but to the contrary, declined to appear in this case.”). Although Mr. Blaylock’s current occupation is unknown, Mr. Blaylock was in state custody serving a 13-year sentence arising from a state prosecution for securities-related charges related to fraud committed between 2004 and 2013, when he was served with the Complaint and summons in this case. Mot. at 13; Mot., Decl. of Pinkel, Ex. 4, Dkt. No 222-6 at 43, 58-60; Compl. ¶ 13. Mr. Blaylock was also subject to a 2018 desist and refrain order issued by the California Business, Consumer Services and Housing Agency Department of Business Oversight related to his operating as an unlicensed investment advisor. Mot. at 13; Mot., Decl. of Pinkel, Ex. 3, Dkt. No. 222-5 ¶¶ 4–6. The Court thus finds that “[t]he existence of past violations may give rise to an inference that there will be future violations.” *Murphy*, 626 F.2d at 655.

Because the totality of the circumstances weighs in favor of imposing an injunction, the Court imposes permanent injunctions prohibiting Mr. Blaylock from future violations of Section 5(a), 5(c), and 15(a)(1) of the Securities Act and prohibiting him from directly or indirectly, including through any entity owned or controlled by him, soliciting any person or entity to purchase or sell any security.

ii. Disgorgement

District courts have “broad equity powers to order the disgorgement of ‘ill-gotten gains’ obtained through the violation of the securities laws.” *SEC v. First Pac. Bancorp.*, 142 F.3d 1186, 1191 (9th Cir. 1998). “Disgorgement is designed to deprive a wrongdoer of unjust enrichment, and to deter others from violating securities laws by making violations unprofitable.” *Id.* “Further, where two or more individuals or entities collaborate or have a close relationship in engaging in the violations of the securities laws, they have been held jointly and severally liable for the disgorgement of illegally obtained proceeds.” *Id.* A disgorgement award in a civil action under the Securities Act or Exchange Act may “not exceed a wrongdoer’s net profits and is awarded for victims.” *Liu v. SEC*, 591 U.S. 71, 75, (2020).

The SEC “bears the ultimate burden of persuasion that its disgorgement figure reasonably approximates the amount of unjust enrichment.” *SEC v. Platforms Wireless Int’l Corp.*, 617 F.3d 1072, 1096 (9th Cir. 2010) (quoting *SEC v. First City Fin. Corp.*, 890 F.2d 1215, 1232 (D.C. Cir. 1989)). “Once the SEC establishes a reasonable approximation of defendants’ actual profits, . . . the burden shifts to the defendants ‘to demonstrate that the disgorgement figure was not a reasonable approximation.’” *Id.* (quoting *First City Fin.*, 890 F.2d at 1232).

If the SEC establishes a disgorgement figure, the Court has discretion to order prejudgment interest. *Platforms Wireless*, 617 F.3d at 1099. “In deciding if and how much prejudgment interest should be granted, a district court must examine . . . matters encompassed within the merits of the underlying action.” *Osterneck v. Ernst & Whinney*, 489 U.S. 169, 176 (1989) (also noting that “in a federal securities action” district courts should consider a number of factors, such as “whether prejudgment interest is necessary to compensate the plaintiff fully for his injuries, the degree of personal wrongdoing on the part of the defendant, the availability of alternative investment opportunities to the plaintiff, whether the plaintiff delayed in bringing or prosecuting the action, and other fundamental

considerations of fairness,” but not “specify[ing] what factors a district court must consider when deciding under federal law whether to grant prejudgment interest”).

Disgorgement “typically includes prejudgment interest to ensure that wrongdoers do not profit from their illegal conduct.” *SEC v. Rothenberg*, 428 F. Supp. 3d 246, 249–50 (N.D. Cal. 2019). The Ninth Circuit has approved of prejudgment interest calculated “from the date the securities were sold.” *Platforms Wireless*, 617 F.3d at 1099–1100 (holding that the lower court’s use of the SEC’s prejudgment interest for a violation of Section 5 of the Securities Act, 17 U.S.C. § 77e, was not an abuse of discretion).

The SEC seeks disgorgement against Mr. Blaylock, jointly and severally with Relief Defendant FreeLife, of \$410,949.10, plus prejudgment interest of \$106,810.61. Mot. at 19.

The SEC’s reasonable approximation of the disgorgement figure for Mr. Blaylock is based on the review conducted by Pasha Salimi, a certified public accountant employed with the Division of Enforcement, which the Court previously reviewed in connection with its prior order as to the other defendants. *See* Mot. for Remedies, Decl. of Salimi, Dkt. 160-13 ¶ 22.⁴ Salimi identified that Mr. Blaylock had control of FreeLife, and then traced payments from TKO or Agravitae to FreeLife and Mr. Blaylock’s personal account. *Id.* Salimi identified that these entities received \$410,949.10 from TKO and Agravitae. *Id.* ¶ 22(c). In a supplemental declaration, Salimi provides additional detail regarding transactions reviewed for Mr. Blaylock, including a schedule of the payments received from TKO Farms. *See*, Mot. for Remedies, Suppl. Decl. of Salimi, Dkt. 185-16 ¶¶ 12-13; Mot. for Remedies, Suppl. Decl. of Salimi, Ex. 33, Dkt. No. 185-36.

⁴ For Mr. Blaylock, Salimi identified the entity that Mr. Blaylock controlled “by reviewing company incorporation records, court filings, and testimony transcripts that indicated that [Mr. Blaylock] controlled the entity in questions, or by reviewing bank account opening documentation which described [Mr. Blaylock] as [an] authorized signer[] for the entity’s accounts.” Mot. for Remedies, Decl. of Salimi, Dkt. 160-13 ¶ 22. “Payments to [Mr. Blaylock and FreeLife] were often in round dollar amounts for several thousand dollars each and some of these transactions referenced the name of specific investors or the word ‘commission.’” *Id.*

As the Court previously found with regard to other, similarly situated defendants, the SEC does not identify any potential deductions, but instead seeks disgorgement in the amount of Mr. Blaylock's total profits based on amounts paid to him personally and to FreeLife by TKO, and based on an analysis of TKO's records only. As with the other defendants, the SEC appears to argue that the total profits traced from TKO records should be disgorged based on a theory that the "entire profit of a business or undertaking" results from the wrongful activity." *Liu*, 591 U.S. at 84. However, no attempt was made to determine whether FreeLife or Mr. Blaylock incurred any expenses that did not further the unlawful sales of unregistered securities. Because the SEC only submitted an approximation of the gross payments to FreeLife and Mr. Blaylock, not the net profit, *see Liu*, 591 U.S. at 91–92, the Court finds that the SEC has not carried its initial burden of establishing a reasonable approximation for disgorgement, *see Murphy*, 626 F.2d at 655. Accordingly, the Court does not order disgorgement by Mr. Blaylock or Freelif.

iii. Civil Penalties

District courts determine the amount of civil penalties to impose "in light of the facts and circumstances" of the case." *SEC v. Husain*, 70 F.4th 1173, 1184 (9th Cir. 2023) (quoting 15 U.S.C. §§ 77t(d)(2)(A), 78u(d)(3)(B)(i)). "In doing so, courts consider the factors set out in *Murphy* . . . which [the Ninth Circuit] originally applied in determining whether injunctive relief is appropriate." *Id.* District courts must therefore "assess the totality of circumstances surrounding the defendant and his violations" using the same *Murphy* factors" that are considered when evaluating injunctions. *Murphy*, 50 F.4th at 851 (quoting *SEC v. Fehn*, 97 F.3d 1276, 1295 (9th Cir. 1996)).

There are three tiers of civil penalties under Section 20(d) of the Securities Act and Section 21(d)(3) of the Exchange Act. 15 U.S.C. §§ 77t(d)(2)(A), 78u(d)(3)(B)(i). A first-tier penalty shall not exceed the greater of (a) \$5,000 for a natural person or \$50,000 for any other person, or (b) the gross amount of pecuniary gain to such defendant as a result of the violation. 15 U.S.C. §§ 77t(d)(2), 78u(d)(3)(B). A second-tier penalty shall not exceed the greater of (a) \$50,000 for a natural person or \$250,000 for any other person, or (b) the gross amount of pecuniary gain to such defendant, if the violation involved fraud, deceit, manipulation, or deliberate reckless disregard of a regulatory requirement. *Id.* And a third-tier penalty shall not exceed the greater of (a) \$100,000 for a natural person or \$500,000 for any other person, or (b) the gross amount of pecuniary gain,

if the violation involved fraud, deceit, manipulation, or deliberate or reckless disregard of a regulatory requirement *and* the violation directly or indirectly resulted in substantial losses or created a significant risk of substantial losses to other persons.⁵ *Id.*

The civil penalty provisions of the Securities Act and the Exchange Act set maximum penalties “[f]or each violation,” but neither act defines “violation.” *See* 15 U.S.C. §§ 77t(d)(2)(A), 78u(d)(3)(B). “District courts have discretion to determine what constitutes a ‘violation.’” *Murphy*, 50 F.4th at 848 (addressing civil penalties under the Exchange Act); *Husain*, 70 F.4th at 1181 n.11 (holding the same for both the Securities Act and Exchange Act).

The SEC argues that a tier-one civil penalty of \$100,000 is appropriate for Mr. Blaylock. Mot. at 19–20. No civil penalties are sought against FreeLife. *Id.* The *Murphy* analysis of the totality of the circumstances discussed above also applies to the Court’s award of civil penalties here. Finding that the totality of the circumstances weighs in favor of the SEC, and that this is not the only instance Mr. Blaylock has been found liable of securities-related charges, the Court finds a tier-one civil penalty in the amount of \$100,000 is appropriate.

IV. CONCLUSION

For the foregoing reasons, the Court **DENIES** Mr. Blaylock’s request to set aside default and **GRANTS** the SEC’s Motion for Entry of Default Judgment in part. The Court enters judgment in favor of the SEC and against Defendants on all causes of action, and orders as follows:

Defendant Mr. Blaylock is permanently enjoined from violating Sections 5(a) and 5(c) of the Securities Act and Section 15(a)(1) of the Exchange Act, and from directly, or indirectly, including, but not limited to, through any entity owned or controlled by Defendant, soliciting any person or entity to purchase or sell any

⁵ The inflation adjusted civil penalty amounts are as follows: (1) tier one – \$11,823 for a natural person and \$118,225 for any other person; (2) tier two – \$118,225 for a natural person and \$591,127 for any other person; and (3) tier three – \$236,451 for a natural person and \$1,182,251 for any other person. 17 C.F.R. § 201.1001(b); SEC, *Inflation Adjustment to the Civil Monetary Penalties Administered by the Securities and Exchange Commission* (as of March 2, 2026), <https://www.sec.gov/enforce/civil-penalties-inflation-adjustments>.

security. Defendant Mr. Blaylock is further ordered to pay to the SEC a civil penalty in the amount of \$100,000.

IT IS SO ORDERED.

CC:FISCAL